

Chapter One

Nature and Scope of Marketing

Basic Concepts and Definition

☐ Needs

- ✓ are defined as a state of feeling necessary for our survival or well being and not yet satisfied. It is state of felt deprivation.

☐ Wants

- ✓ can be defined as the desire for specific satisfiers of the basic needs taken as shaped by culture and individual personality.

☐ Demand

- ✓ Wants accompanied or backed up by purchasing power.

Continued.....

- ✓ Usually, marketers are advised to consider demand of the potential and actual customers in the production of goods and services.
- ✓ There are many ways devised by human beings in order to satisfy their needs and wants. These are:
 - ❖ self-production
 - ❖ Begging
 - ❖ Coercion
 - ❖ exchange process

❑ Exchange

- ✓ is the act of acquiring the desired object from some one by offering something in return. It enables people to obtain goods and services they need.
- ✓ When people reach an agreement for exchange, it is called **TRANSACTION**.

❑ Market

- ✓ To be more comprehensive, it is defined as a group of potential customers with needs to satisfy, money to spend and willingness to spend it.

❑ Marketing

- ✓ Marketing defined by many scholars as follows:
 1. According to American Marketing Association, marketing is defined as the performance of business activities that direct the flow of goods and services from producers to consumers or users.
 2. According to William J. Stanton, marketing is a system of business activities designed to plan, price, promote and distribute want satisfying goods and services to present and potential customers.

Continued.....

3. According to Philip Kotler, marketing is a social and managerial process by which individuals and groups obtain what they need and want through creating and exchanging products and value with others.

□ Generally, the definition of marketing can be grouped in to two:

a. Classical Definition

✓ In classical terms marketing can be defined as the performance of business activities that direct the flow of goods and services from producers to consumers. It emphasizes the distribution aspect of marketing.

b. Modern Definition

- ✓ In broader terms marketing is defined as a system of business activities designed to plan, price, distribute and promote want satisfying products (goods and services) to present and potential customers.
- ✓ In marketing, there are combinations of activities, which start before the creation of product and don't end until customers are satisfied.
- ✓ Marketing includes anticipating demand, which requires a firm to do customer research on a regular base so that it develops and introduces products that are desired by customers.

❑ From the above discussions, we can conclude the following about marketing:

- a. Marketing is the business activity concerned with the flow of goods and services from producers to consumers.
- b. Marketing generates and facilitates exchange
- c. The concept of marketing lies on needs wants and demands of customers.
- d. Marketing is greater than selling.
- e. Marketing is an integrated activity.
- f. Marketing is concerned with customer satisfaction.

Approaches and Evolution of Marketing

- We have two approaches to marketing: old and new and their comparison is presented as follows.

a. Classical view

- ❖ The boundary of marketing ranges between production and selling.
- ❖ Sales and promotions are the means to increase the sales volume so as to get profit.
- ❖ The focal point of the effort is the product.
- ❖ Marketing is a disintegrated activity /it is the responsibility of the sales department/.
- ❖ Marketing is equal to selling.

b. Modern view

- ❖ Marketing starts early before manufacturing of products and continues after selling.
- ❖ Customer satisfaction is emphasized to increase profit.
- ❖ The focal point is customer.
- ❖ Marketing is an integrated activity /it is the responsibility of every member department in the organization/.
- ❖ Marketing is greater than selling.

The Evolution of Marketing

- ❑ The development of marketing is an evolutionary process. It has got for stages of development.

1. The Production Era

- ✓ It was a stage where the emphasis of marketing was increasing production or output.
- ✓ High demands, low competition and absence of consumer research characterized this stage.
- ✓ Therefore, marketing was devoted to increasing production and physical distribution of products to satisfy the high demand.

2. Sales era

- ✓ Once a company was able maximize its production capabilities; it hired a sales force to sell its inventory.
- ✓ The role of advertising and the sales force was to make the desire of consumers fit the attributes of the products being manufactured.

3. The Marketing Department Era

- ✓ It was an era that occurred when research was used to determine consumer needs.
- ✓ The marketing department conducted consumer research and advised management on how to design, price distribute and promote products.

Continued.....

4. The Marketing Company Era

- ✓ This integrates consumer research and analysis in to all company efforts.
- ✓ Competition gets intense and sophisticated. Company efforts are integrated and frequently evaluated.

Marketing Functions

- The following are the basic marketing functions:

1. Environmental Analysis and Marketing Research

- ✓ It involves monitoring and adapting to external factors that affect success or failures, such as the economy and competition and collecting data to resolve specific marketing issues.

2. Consumer Analysis

- ✓ It involves examining and evaluating customer characteristics, needs and purchase process and selecting the group of consumers at which to aim marketing efforts.

3. Product Planning

- ✓ It involves developing and maintaining products, product assortments, product images, brands and packages, optional features and deleting faltering products.

4. Distribution Planning

- ✓ It involves establishing relations with distribution-channels, intermediaries, physical distribution, inventory management, warehousing, transportation, the allocation of goods and services and wholesaling and retailing.

Continued.....

5. **Promotion Planning**

- ✓ It involves communicating with customers, the general public and others through some form of advertising, publicity, personal selling and sales promotion.

6. **Price Planning**

- ✓ It involves determining price levels and ranges, price techniques, terms of purchase, price adjustments, and the use of price as an active or passive factor.

7. **Marketing Management**

- ✓ It involves planning, implementation and controlling the marketing program (strategy) and individual marketing functions; and appraising the risks and benefits in decision-making.

Definition of Marketing Management

❑ Marketing Management

- ✓ according to Kotler it is “the analysis, planning, implementation and control of programs to create, build and maintain mutually beneficial exchanges and relationships with target markets for the purpose of achieving organizational objectives”.
- ✓ marketing management is not concerned not only with finding and increasing demand, but also with changing or reducing it.

Demand States and Marketing Tasks

- ✓ The various states of demand and the corresponding marketing management task according to P. Kotler are the following:

1. Negative Demand

- ✓ Majority of the market dislikes the product and avoids it. Examples are vaccination, alcoholic employees, dental work and seat belts.

☐ Marketing task:

- To develop marketing programs that can change consumers beliefs and attitudes consisting of: product redesign, lower prices, and More positive promotion.
- ✓ These marketing tasks or activities are known as **CONVERSINAL** marketing which tries to change people's want rather than serve their wants.

Continued.....

2. No Demand

- ✓ Consumers show lack of awareness or interest in a product. For example farmers may not know about a new farming method, college students may not be interested in taking foreign language courses.

☐ Marketing task

- ✓ finding ways to connect the benefits of the product with the person's natural needs and interests.
- ✓ This marketing task is known as **STIMULATIONAL** marketing; it tries to stimulate a want for an object in people who initially have no knowledge or interest in the product.

3. Latent Demand

- ✓ A product has a strong need that can't be satisfied by existing products. Examples include the need for harmless cigarettes, more fuel-efficient cars, etc.

☐ Marketing task

- ✓ To measure the size of the potential market and develop goods and services to satisfy the demand.
- ✓ The marketing task is called **DEVELOPMENTAL** marketing

Continued.....

4. Falling Demand

- ✓ A product has a lower demand in the market. For example, churches have seen their membership decline, and private colleges have seen fewer applications.

☐ Marketing tasks

- ✓ To reverse declining demand through creative remarketing and re-stimulate demand by finding new markets, changing products features or creating more effective communication and marketing task is **REMARKETING.**

5. Irregular Demand

- ✓ A product has varying demand by season, day or hour and volatile fluctuations causing problems of ideal capacity and overworked. For example museums are under-visited during weekdays and overworked during weekends.

☐ Marketing task

- ✓ To find ways to alter the pattern of demand through flexible pricing, promotion and other incentives.
- ✓ The corresponding marketing task is **SYNCHROMARKETING.**

Continued.....

6. Full demand

- ✓ A product has a satisfying level of demand in the market. It is a state where the current level and timing of demand is equal to the desired level and timing of demand.

☐ Marketing task

- ✓ To maintain the current level of demand in the face of changing consumer preferences and increasing competition and to maintain or improve product quality and continually measure consumer satisfaction.
- ✓ The marketing task is **MAINTENANCE** marketing.

7. Overfull Demand

- ✓ A product has more demand than can be handled or delivered in the market. It is a state in which demand is higher than the company can want or handle.

☐ Marketing task

- ✓ To find ways to reduce demand temporarily or permanently via raising prices and reducing promotion and services.
- ✓ The marketing task is called **DEMARKETING**.

Continued.....

8. Unwholesome demand

- ✓ demand for unhealthy or dangerous products.
- ✓ Fore example, “ Don’t smoke cigarette even Winston”

☐ Marketing task

- ✓ To get people who like something to give it up, using fear message, price hikes, and reduced availability.
- ✓ The marketing task is known as **COUNTERMARKETING.**

Marketing Management Philosophies

- ❑ The five marketing philosophies that guide marketers' behavior are:

1. The production concept

- ✓ It holds that consumers prefer products that are widely available and inexpensive.
- ✓ Managers of production - oriented businesses concentrate on achieving ***high production efficiency, low costs, and mass distribution.***

2. The product Concept

- ✓ It holds that consumers will favor products that offer the most quality, performance, and innovative features.

Continued.....

- ✓ Thus, an organization should devote energy to making continuous product improvements.
- ✓ The product concept can lead to *marketing myopia* (a shortsighted view of marketing, which focuses on the product itself rather than the customers' benefits and the challenges presented by other products).

3. Selling concept

- ✓ It holds that consumers will not buy enough of the organization's products unless it undertakes a large-scale selling and promotion effort.
- ✓ The following are the common features of the selling concept:

Continued.....

- ❖ This concept is typically practiced with unsought goods
- ❖ To be successful with this concept, the organization must be good at tracking down prospects and selling them on product benefits.
- ❖ Most firms practice the selling concept when they have over capacity
- ❖ Such marketing carries high risks

4. . The Marketing Concept

- ✓ The marketing concept holds that achieving organizational goals depends on determining the needs and wants of target markets and delivering the desired satisfaction more effectively and efficiently than competitors do.

- ✓ The marketing concept has been expressed in many colorful ways:
 - ❑ **Target Market**
 - ✓ Companies do best when they choose their target market (s) carefully and prepare tailored marketing programs.
 - ❑ **Customer Needs**
 - ✓ clearly, understanding customer needs and wants
 - ❑ **Integrated marketing**
 - ✓ Results when all of the company's department's work together to serve the customers interests
 - ❑ **Profitability**
 - ✓ The ultimate purpose of the marketing concept is to help organizations achieve their objectives. In the case of private firms, the Major objective is profit

5. The Societal Marketing Concept

- ✓ It should deliver superior value to customers in a way that maintains or improves the consumer's and the society's well being.
- ✓ The societal concept calls upon marketers to balance three considerations in setting their marketing policies.
 - ❖ Company profits
 - ❖ Customers wants
 - ❖ Society's interest

Unit Two

The Marketing Environment

Introduction

❑ Marketing environment

- ✓ consists of the actors and forces outside marketing that affects marketing management's ability to develop and maintain successful transactions with its target customers.
- ✓ Changes in the marketing environment are often quick and unpredictable.
- ✓ The marketing environment offers both opportunities and threats.
- ✓ Marketers use marketing intelligence and marketing research for collecting information about the marketing environmen.

Continued.....

- ✓ The marketing environment is made up of:
 - a. Internal environment
 - b. External environment (Micro and Macro)

☐ Internal environment

1. The Company

- ✓ it consists of all the departments such as, top management, finance, research and development (R&D), purchasing, manufacturing, and accounting.

- ✓ All the departments affect marketing on the following ways:
- ❖ **Top management** sets the company's mission, objectives, brand strategies, and policies and marketing plans must be approved by top management before they can be implemented.
- ❖ **Finance** is concerned with funding and using funds to carry out the marketing plan.
- ❖ **The R&D department** focuses on designing safe and attractive products.

- ❖ **Purchasing** worries about getting supplies and materials.
- ❖ **manufacturing** is responsible for producing the desired quality and quantity of products.
- ❖ **Accounting** has to measure revenues and costs to help marketing know how well it is achieving its objectives.
- ✓ Under the marketing concept, all of these functions must "think consumer," and they should work in harmony to provide superior customer value and satisfaction.

Continued.....

❑ **Micro Environment**

- ✓ consists of the forces close to the company that affect its ability to serve its customers.
- ✓ The micro environment consists of five forces:

1. Suppliers

- ✓ firms and individuals that provide the resources needed by the company and its competitors to produce goods and services.
- ✓ Supplier problems can seriously affect marketing.
- ✓ Marketing managers must watch supply availability - supply shortages or delays, labor strikes, and other events can cost sales in the short run and damage customer satisfaction in the long run.

2. Marketing Intermediaries

- ✓ They include resellers, physical distribution firms, marketing service agencies, and financial intermediaries.
- ✓ **Resellers** are distribution channel firms that help the company find customers or make sales to them. These include wholesalers and retailers, who buy and resell merchandise.
- ✓ **Physical distribution** firms help the company to stock and move goods from their points of origin to their destinations. It includes warehouse and transportation firms.

Continued.....

- ✓ **Marketing services agencies** are the marketing research firms advertising agencies, media firms, and marketing consulting firms that help the company target and promote its products to the right markets.
- ✓ **Financial intermediaries** include banks, credit companies, insurance companies, and other businesses that help finance transactions or insure against the risks associated with the buying and selling of goods.

Continued.....

3. Customers

- ✓ These individuals or institutions that use the company's products.
- ✓ There are five types of customer markets.
- ❖ **Consumer markets** consist of individuals and households that buy goods and services for personal consumption.
- ❖ **Business markets** buy goods and services for further processing or for use in their production process.
- ❖ **Reseller markets** buy goods and services to resell at a profit.

- ❖ **Government markets** are made up of government agencies that buy goods and services to produce public services or transfer the goods and services to others who need them.
- ❖ **International markets** consist of these buyers in other countries, including consumers, producers, resellers, and governments.
- ✓ Each market type has special characteristics that call for careful study by the seller.

4. Competitors

- ✓ Competitors are an organization's opponents, the companies against which the business organization competes for customers and needed resources.
- ✓ There are two types:
 - ❖ An organization's intratype competitors are companies that produce the same or similar products or services as the organization.
 - ❖ Intertype competitors are distinctly different and competing organizations for the same resources .

Continued.....

- ✓ The marketing concept states that to be successful, a company must provide greater customer value and satisfaction than its competitors do.
- ✓ They also must gain strategic advantage by positioning their offerings strongly against competitors' offerings in the minds of consumers.

5. Publics

- ✓ A public is any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives.

- ❑ There are seven types of publics, such as:
 - ✓ **Financial publics** influence the company's ability to obtain funds. Banks, investment houses, and stockholders are the major financial publics.
 - ✓ **Media publics** carry news, features, and editorial opinion. They include newspapers, magazines, and radio and television stations.
 - ✓ **Government publics**: management must take government developments into account. Marketers must often consult the company's lawyers on issues of product safety, truth in advertising and other matters.

Continued.....

- ✓ **Citizen action publics:** A company's marketing decisions may be questioned by consumer organizations, environmental groups, minority groups, and others.
- ✓ **Local publics** include neighborhood residents and community organizations.
- ✓ **General public:** A company needs to be concerned about the general public's attitude toward its products and activities.
- ✓ **Internal publics** include workers, managers, volunteers, and the board of directors. Large companies use newsletters and other means to inform and motivate their internal publics.

The Company's Macro Environment

- ✓ It includes all of the other actors operate in a larger macro environmental forces that shape opportunities and pose threats to the company.
- ✓ There are six major forces in the company's macro environment.

1. Demographic Environment

- ✓ Demography is the study of human population in terms of size, density, location, age, gender, race, occupation, and other statistics.
- ✓ The demographic environment is of major interest to marketers because it involves people, and people make up markets.

Continued.....

- ✓ Demographic trends are constantly changing. Some of the more interesting trends globally are:
 - ❖ The world's population rate is growing at an explosive rate.
 - ❖ The most important trend is the changing age structure of the population.
 - ❖ Geographical shifts in population will also alter demographics.
 - ❖ The population is becoming better educated.

Continued.....

2. Economic Environment

- ✓ The economic environment consists of factors that affect consumer purchasing power and consumption pattern or spending patterns.
- ✓ The major factors that affect purchasing power include:
 - ❖ Income,
 - ❖ saving, and
 - ❖ credit facilities
- ✓ Nations vary greatly in their levels and distribution of income.

Continued.....

3. Natural Environment

- ✓ The natural environment involves the natural resources that are needed as inputs by marketers or that are affected by marketing activities.
- ✓ Marketers should be aware of several trends in the natural environment.
- ❖ The first involves growing shortages of raw materials.
- ❖ A second environment trend is increased pollution.
- ❖ marketers should help develop solutions to the material and energy problems facing the world.

Continued.....

4. Technological Environment

- ✓ The technological environment includes forces that create new technologies, creating new product and market opportunities.
- ✓ The technological environment is perhaps the most dramatic force now shaping our destiny.
- ✓ New technologies create new markets and opportunities.
- ✓ Companies that do not keep up with technological change soon will find their products outdated.
- ✓ They will miss new product and market opportunities. Thus, marketers should watch the technological environment closely.

5. Political Environment

- ✓ The political environment consists of laws, government agencies, and pressure groups that influence and limit various organizations and individuals in a given society.
- ✓ Almost every marketing activity is subject to a wide range of laws and regulations. Some trends in the political environment include:
 - ❖ Increasing legislation, Changing government agency enforcement, Growth of public interest groups and Increased emphasis on ethics and socially responsible actions

6. Cultural Environment

- ✓ The cultural environment is made up of institutions and other forces that affect society's basic values, perceptions, and behaviors.
- ✓ Certain cultural characteristics can affect marketing decision making.

Impact of the Environment on Marketing

- ✓ Factors both, external to the firm and within the organization affect the feasibility of various marketing strategies and programs.

Continued.....

- ✓ Environmental factors influence marketing strategies and programs in four basic ways.
- ❖ Environmental factors can constrain the organization's ability to pursue certain marketing strategies or activities.
- ❖ Environmental variables and changes in those variables overtime, help to determine the ultimate success or failure of marketing strategies.
- ❖ Changes in the environment can create new marketing opportunities for an organization, as when the discovery of a new technology allows the development of new products.

- ❖ Environmental variables themselves are affected and changed by marketing activities, as when new products and promotional programs help to change lifestyles and social values.
- ✓ Consequently, one of the most important but increasingly difficult parts of a marketing managers job is to monitor the environment, predict how it might change, and develop marketing strategies and plans well suited to environmental conditions.

Overview of Strategic Planning

- ✓ is the process of developing and maintaining a strategic fit between the organizations' goals and capabilities and its changing marketing opportunities.
- ✓ The strategic plan contains several components: the mission, the strategic objectives, the strategic audit, SWOT analysis, portfolio analysis, objectives and strategies.
- ✓ A **mission** states the purpose of a company. Firms often start with a clear mission held within the mind of their founder.

- ✓ **Marketing Audit:** The external audit or marketing environment audit examines the macro environment and task environment of a company.
- ✓ **SWOT Analysis** draws the critical strengths; weaknesses, opportunities and threats (SWOT) from the strategic audit.
- ✓ **The Business Portfolio** is the collection of businesses and products that make up the company
- ✓ It is a link between the overall strategy of a company and those of its parts.

Continued.....

- ✓ The company must (1) analyze its *current* business portfolio and decide which businesses should receive more, less or no investment, and (2) develop growth strategies for adding *new* products or businesses to the portfolio.
- ✓ In designing the business portfolio, management goes beyond evaluating current businesses.
- ✓ One useful device for identifying growth opportunities is the product/market expansion grid, which includes four different strategies:

1. *Market Penetration*

- ✓ meaning more sales to present customers without changing the products in any way.
- ✓ For example, to increase sales, the company might cut prices, increase advertising, get products into more stores, or obtain better shelf positions for the company.

2. *Market Development*

- ✓ meaning identifying and developing new markets for current products.
- ✓ For example, managers review demographic markets – infants, preschoolers, teenagers, young, adults, and senior citizens

3. *Product Development*

- ✓ involves offering modified or new products for current markets.
- ✓ The company products could be offered in new sizes, or with new ingredients, or in new packaging, all representing possible product modification.

4. *Diversification*

- ✓ involves starting up or buying businesses that are entirely outside of its current products and markets.
- ✓ Some companies try to identify the most attractive emerging industries.

Unit Three

The Market

What is Market?

☐ The Market

- ✓ Originally the term market consisted of a place where buyers and sellers meet to exchange goods and services.
- ✓ However, for a marketer it is a group of people (actual and potential buyers of a product) with needs or wants to satisfy, money to spend and willingness to spend it.
- ✓ Thus the marketer sees the sellers as constituting the industry or competition and the buyers as constituting the market.

Markets and Their Buying Behavior

- ✓ Based on the intended use of a product or service, markets can be divided into two broad categories:
 - ❖ consumer markets
 - ❖ organizational markets
- 1. Consumer Markets**
 - ✓ The consumer market consists of all individuals and households who buy or acquire goods and services for personal consumption.
 - ✓ Consumers vary tremendously in ages, incomes, educational levels, mobility patterns and tastes.

Major Factors Influencing Buying Behavior

- ✓ There are many factors that affects the purchasing behaviour of consumers.
- ✓ Consumer purchases are strongly influenced by cultural, social, personal, and psychological characteristics.

1. Cultural Factors

- ✓ Cultural factors are the most fundamental determinant of the person's wants and behavior.
- ✓ A child growing up in a certain particular place acquires a set of values, perceptions, preferences and behaviors through his or her family and other key institutions.

Continued.....

- ✓ Cultural factors can be discussed under the following factors: culture, subculture, and social class.

☐ **Culture**

- ✓ Culture is the most basic cause of a person's wants and behavior.
- ✓ Marketers are always trying to spot cultural shifts in order to imagine new products that might be wanted.

☐ **Subculture**

- ✓ Each culture contains smaller subcultures, or groups of people with shared value systems based on common life experiences and situations.

Continued.....

- ✓ **Nationality groups** that are found within larger communities, for instance, have distinct ethnic tastes, interests, culture styles and attitudes.
- ✓ **Religious groups** can also be taken as subculture with their own preferences and taboos.
- ✓ **Geographical areas and age groups** can also have their own subcultures with characteristic life styles.
- **Social classes**
 - ✓ Social classes are relatively permanent and ordered divisions in a society whose members share similar values, interests, and behaviors.

Continued.....

- ✓ Social class is determined by factors such as occupation, income, education, wealth, and other variables.
- ✓ Social class shows distinct products and brand preferences in such areas as clothing, home furnishings, leisure activity, and automobiles.
- ✓ Therefore marketing could be influenced by the nationality, religion, race, geographic back ground, etc. of the buyer.

2. Social Factors

- ✓ A consumer's behavior is also influenced by social factors, such as the consumer's reference groups, family, and social roles and status.

❑ **Reference groups**

- ✓ are groups that have a direct (face-to-face) or indirect influence on the person's attitudes or behavior.
- ✓ Some are primary groups with whom there is regular informal interaction, such as family, friends, neighbors, and co-workers.
- ✓ Some are secondary groups, which are more formal and have less regular interaction. They include organizations such as religious, professional associations, and trade unions.
- ✓ Therefore, Marketers have to identify the reference groups within their target customer and try to influence the opinion leaders in the reference group.

Continued.....

- ✓ People are also influenced by groups to which they do not belong or indirect groups such as:
- ❖ An **aspiration group** is one to which the individual wishes to belong.
- ❖ A **dissociative group** is one whose values or behavior a person rejects.

❑ **Family**

- ✓ The buyer's parents make up the family of orientation.
- ✓ From parents a person acquires an orientation toward religion, politics, and a sense of personal ambition, self worth, and love.

❑ Role and Status

- ✓ The person's position in each group can be defined in terms of role and status.
- ❖ **A role** consists of the activities a person is expected to perform according to the people around him.
- ❖ Each role carries a **status** reflecting the general esteem given to it by society.
- ✓ People usually choose products that show their role and status.

☐ **Lifestyle**

- ✓ Life style is a person's pattern of living as expressed in his activities, interests, and opinions.
- ✓ Life style profiles a person's whole pattern of acting and interacting in the world.

☐ **Personality and self-concept**

- ✓ Personality is the person's distinguishing psychological characteristics that lead to relatively consistent and lasting responses to his environment.

3. Personal Factors

- ✓ A buyer's decisions are also influenced by personal characteristics such as the buyer's age and life-cycle stage, occupation, economic situation, life-style, and personality and self-concept.
- ❑ **Age and lifecycle stage**
 - ✓ People's taste in foods, clothes, furniture, recreation, etc is all age-related. Buying is also shaped by the stage of the family life cycle.
 - ✓ Marketers often define their target markets in terms of life-cycle stages (childhood, adulthood, etc) and develop appropriate products and marketing plans accordingly.

☐ **Occupation**

- ✓ A company manager and worker have different buying habits as shaped by their relative occupation.
- ✓ A company can even specialize in making products needed by a given occupational group.

☐ **Economic Situation**

- ✓ People's economic circumstances consist of their level of spendable income, savings and assets, borrowing power, and attitudes toward spending and saving.

- ✓ An individual's personality is usually described in terms of such traits as achievement, aggressiveness, autonomy, defensiveness, dominance, emotionality, self-confidence, sociability, adaptability, affiliation, etc.
- ✓ Many marketers use a concept related to personality – a person's self-concept (also called self-image). **Self-concept** refers to a complex mental picture of how a person views himself.

4. Psychological Factors

- ✓ A person's buying choices are also influenced by four major psychological factors, namely, motivation, perception, learning, and beliefs and attitudes.

☐ Motivation

- ✓ A person has many needs at any given time
- ✓ A need becomes a motive when it is aroused to a sufficient level of intensity. A motive (or drive) is a need that is sufficiently pressing to direct the person to seek satisfaction of the need.

- ✓ According to Abraham Maslow's famous model of motivation, human needs are arranged in a hierarchy, from the most pressing to the least pressing.
- ✓ A person will try to satisfy the most important needs first. When the most important need is satisfied, it will stop being a motivator for the present time, and the person will be motivated to satisfy the next most important need.

☐ Perception

- ✓ How the motivated person acts is influenced by his perception of the situation.

- ✓ Perception is the process by which people select, organize, and interpret information to form a meaningful picture of the world.

❑ Learning

- ✓ Learning describes changes in an individual's behavior arising from experience.
- ✓ Learning theorists say that learning occurs through the interplay of drives, cues, responses and reinforcement.
- ✓ The practical significance of “learning” for marketers is that they can build up demand for a product by associating it with strong drives, using motivating cues, and providing positive reinforcement.

❑ Beliefs and Attitudes

- ✓ **A belief** is a descriptive thought that a person holds about something. Beliefs may be based on real knowledge, opinion, or faith.
- ✓ Marketers are very interested in people's beliefs about specific products and services.
- ✓ **An attitude** is a person's consistently favorable or unfavorable evaluations, feelings, and tendencies toward an object or idea.
- ✓ Attitudes put people into a frame of mind of liking or disliking things, moving toward or away from them.

The Buyers Decision Process

- ✓ Buyers pass through five stages in order to reach a buying decision. These five stages are:

1. Problem or need recognition

- ✓ The buying process starts when the buyer recognizes a problem or need .
- ✓ The need can be triggered by internal or external stimuli.

2. Information search

- ✓ Consumer then gathers information related to their attainment of the desired state of affairs.
- ✓ The consumer information source can be: Personal source:-family, friends, neighbors, etc. Commercial sources: advertisement, sales persons, packaging and Public sources: mass media, news papers.

3. Evaluation of Alternatives

- ✓ In the evaluation stage, the consumer ranks brands and forms purchase intentions in order to ultimately make purchase decisions.

4. Purchase decisions and Purchase Act

- ✓ Consumer narrows the alternatives down to one.
- ✓ the consumer will buy the most preferred brand.

5. Post purchase Evaluation

- ✓ After purchasing the product, the consumer will be satisfied or dissatisfied with it.

Continued.....

- ✓ The consumer will also engage in post purchase behavior that is of interest to the marketer.

- ✓ There will be a Cognitive dissonance.

❑ Cognitive dissonance

- ✓ Post-purchase anxiety that results from an imbalance among an individual's knowledge, beliefs, and attitudes after an action or decision is taken.

Organizational Markets

- ✓ Organizational market consists of all individuals and organizations that buy goods and services to make other goods and services, to resell to other industrial users or consumers and to conduct organization's operation.
- ✓ The organizational market is divided in to three major categories:

1. The Producer Market

- ✓ The producer market is consists of all the individuals and organizations who acquire goods and services that enter into the production of other goods and services that are sold, rented or supplied to others.

2. The Reseller Market

- ✓ It consists of people and institutions /organizations that buy goods and services for the purpose of reselling or renting them to others at a profit instead of producing form utility
- ✓ the reseller market produces time, place and possession utilities.
- ✓ The reseller market is composed of wholesale and retail organizations

3. The Government Market

- ✓ It consists of government units and institutions of all types: schools, offices, hospitals and military bases who purchase or rent goods and services for carrying out the main functions of government.

Market Segmentation

❑ Market Segmentation

- ✓ is division of the total market into smaller, relatively homogeneous groups.
- ✓ is breaking down a market into groups of customers with similar characteristics.
- ✓ There is no single way to segment a market. A marketer has to try different segmentation variables, alone and in combination, hoping to find the best way to view the market structure.
- ✓ The key for most small firms is to concentrate their efforts and resources on one – or at most two or three – clearly defined market segments

- ✓ Sellers have traditionally passed through three stages:
- ❑ **Stage 1: Mass Marketing**
 - ✓ sellers mass-produce, mass-distribute, and mass-promote one product to all buyers.
- ❑ **Stage 2: Product-variety Marketing**
 - ✓ sellers produce two or more products that have different features, styles, and sizes.
- ❑ **Stage 3: Target Marketing**
 - ✓ sellers identify market segments, select one or more of these segments, and develop products and marketing mixes tailored to each segment.

Continued.....

- ✓ Currently, companies are moving away from mass marketing and product-variety marketing toward target marketing.
- ✓ Target marketing calls for three major steps.
- ❖ The first is market segmentation, dividing a market into distinct groups of buyers who might call for separate products or marketing mixes.
- ❖ The second step is market targeting, evaluating each segment's attractiveness and selecting one or more of the market segments to enter.
- ❖ The third step is market positioning, setting the competitive positioning for the product and a detailed marketing mix.

Importance of Market Segmentation

- ✓ Some of the importance's of market segmentation are:
 - to design appropriate marketing mixes for each segments
 - for best satisfaction of customers or consumers
 - to know potential buyers
 - for efficient utilization of resources or cost effective marketing work

Basis of Segmenting the Market

- ✓ The major variables used for segmenting the market are:

a. Geographic Segmentation

- ✓ calls for dividing the market into different geographical units such as nations, states, regions, cities, south, north, west, east, central, etc.
- ✓ Many companies today are “regionalizing” their marketing programs – localizing their products, advertising, promotion, and sales efforts to fit the needs of individual regions, cities, and even neighborhoods

b. Demographic Segmentation

- ✓ consists of dividing the market into groups based on demographic variables such as age, sex, family size, family lifecycle, income, occupation, education, religion, race, and nationality.
- ✓ Demographic factors are the most popular bases for segmenting customer groups.

c. Psycho-graphic Segmentation

- ✓ are divided into different groups based on social class, life style, or personality characteristics.

Continued.....

- ✓ Social class has a strong effect on preferences in cars, clothes, home furnishings, leisure activities, and retails.

d. Behavior Segmentation

- ✓ buyers are divided into groups based on their knowledge, attitude, use, or response to a product.
- ✓ Buyers can be grouped according to occasions when they get the idea, make a purchase, or use a product.
- ✓ Many buyers may tend to buy some types of commodities for special occasions such as holidays.

Continued.....

- ✓ To be useful, market segments must have the following characteristics:
 - ☐ **Measurability**
 - ✓ the degree to which the size and purchasing power of the segments can be measured.
 - ☐ **Accessibility**
 - ✓ the degree to which the segments can be reached and served.
 - ☐ **Sustainability**
 - ✓ the degree to which the segments are large or profitable enough.
 - ☐ **Actionability**
 - ✓ the degree to which effective programs can be designed for attracting and serving the segments.

Unit Four

The Product

The Meaning of Product

❑ Product

- ✓ is a set of tangible and intangible attributes, including packaging, color, price, quality, and brand plus the sellers' services and reputation.
- ✓ Phillip Kotler defined a product as anything that can be offered to satisfy a need or want.
- ✓ It includes physical objects, services, persons, places, organizations and ideas.
- ✓ In marketing we need a broader definition of product to indicate that consumers are not really buying a set of attributes, but rather benefits that satisfy their needs.

Classifications of Products

- ✓ Two major ways to classify products are by:
 - ❖ *degree of product tangibility and durability,*
 - ❖ *type of user*

☐ Degree of Product Tangibility and Durability

- ✓ Classification by degree of tangibility divides products into one of three categories.
 - a. non-durable good**
 - ✓ an item consumed in one or a few uses, such as soap, soft drinks, cigarettes, etc.
 - b. Durable products**
 - ✓ Are items generally cost more than non-durable goods and last longer, Such as automobiles, machines, furniture, equipment, etc.

c. Services

- ✓ defined as intangible activities, benefits, or satisfactions offered for sale, such as marketing research, health care, and education.

□ Type of User

- ✓ The second major type of product classification is according to the user, as consumer goods and industrial goods.

1. Classification of Consumer Goods

- ✓ Consumer goods are products purchased by the ultimate consumer for ultimate use or non-business purposes.

Continued.....

- ✓ There are four types of consumer goods.
- ✓ They differ in terms of the effort the consumer spends on the decision, attributes used in purchase, and frequency of purchase.

a. Convenience goods

- ✓ Are tangible products that the consumer knows enough about before going out to buy it and then actually buys it with a minimum of effort.
- ✓ Convenience goods typically have a low unit price, are not bulky, and are not greatly affected by fade and fashion.
- ✓ Examples include soft drinks, sugar, cigarettes, ballpoint pen, soap, salt, etc.

Continued.....

b. Shopping goods

- ✓ are items for which the consumer compares several alternatives against criteria, such as price, quality, or style.
- ✓ Shopping goods manufacturers require fewer retail outlets because consumers are willing to look around for what they want.
- ✓ Examples include shoes, trousers, furniture, utensils, etc.

c. **Specialty goods**

- ✓ refer to tangible products for which consumers have strong brand preference and are willing to expend substantial time and effort in locating the desired brands.
- ✓ The consumer has prior product knowledge and is reluctant to accept substitutes for it.
- ✓ Examples include expensive cars, cameras, TV set, etc.

d. Unsought goods

- ✓ An unsought good is a new product that the consumer is not yet aware of or a product that the consumer is aware of but does not want right now.
- ✓ New products until they are promoted through advertising, life-insurance, and encyclopaedias are categorized under this group.

2. Classification of Industrial Goods

- ✓ Industrial goods are products used in the production of other products, which are intended for resale.
- ✓ They are more usually classified in the broader use of products.
- ✓ they are classified in to six major categories:

a. Raw Materials

- ✓ They are industrial goods, which are used in the form of their natural states.
- ✓ Raw materials include goods found in their natural state, such as minerals, land, products of forests and the sea and agricultural products such as wheat, cotton, fruits, vegetables, livestock and animal products.

b. Installations

- ✓ Consist of buildings and fixed equipment.
- ✓ The pricing of installations is often by competitive bidding.

c. Accessory equipment

- ✓ Includes tools and office equipment and is usually purchased in small-orders sizes by buyers.

d. Supplies

- ✓ Are similar to consumer convenience goods and consist of products such as stationery and paper clips.

e. Fabricating Materials and Parts

- ✓ These are industrial goods that became an actual part of finished product.
- ✓ They are already processed to some extent and will undergo processing. pig iron going to steel, flour becoming part of bread are typical examples.

f. Services

- ✓ They are intangible activities to assist the industrial buyer.
- ✓ This category can include maintenance and repair service and advisory services.

Development of New Products

❑ What is a "New" Product?

- ✓ a new product can be defined in terms of the following points:
- ❖ Products those are really innovative – truly unique
- ❖ If a product is functionally different from existing offerings,
- ❖ Imitative products those are new to a particular company but not new to the market. This is a product new to the company but offered by competing firms.

Stages in the Development Process

- ✓ The stages in new product development include:
 - a. *Idea generation*
- ✓ New product development starts with an idea.
- ✓ New ideas can come from a company's own sales or production staff, middlemen, research and development unit, competitors, or other sources, such as trade associations, advertising agencies, or government agencies.
- ✓ Companies need a format procedure for seeking new ideas to assure a continual flow of new-but sound- ideas.

b. Screening ideas

- ✓ At this stage new-product ideas are evaluated to determine which ones warrant further study.
- ✓ A "good" new idea should eventually lead to a product that will give the firm a competitive advantage-hopefully one that will last.

c. Business analysis

- ✓ Business analysis involves specifying the features of the product and the marketing strategy needed to commercialize it and making necessary financial projections.

- ✓ Economic analysis, marketing strategy review, and legal examination of the proposed product are conducted at this stage.
- ✓ An attractive new product proposal is one in which the technology can be patented or not easily copied.

d. *Development (Proto type)*

- ✓ If the results of the business analysis are favorable, then a prototype (or trial model) of the product is developed.

e. Market tests

- ✓ Unlike the internal tests conducted during proto-type development, these tests involve actual consumers.
- ✓ A new tangible product may be given to a sample of people for use in their households.
- ✓ the product is placed on sale in a limited geographical area.
- ✓ Following market tests, management must make a final "go–no go" decision about introducing the product.

f. Commercialization

- ✓ In this stage, full-scale production in marketing programs is planned and, finally, implemented.

Product Life Cycle

- ✓ The concept of the product life cycle describes the stages (or courses) a new product goes through in the market place.
- ✓ In other terms, product life is the course of product's sales and profits over its lifetime.
- ✓ A product lifecycle consists of four stages: introduction, growth, maturity, and decline.

❑ Introduction Stage

- ✓ The introduction stage of the product life cycle occurs when the product first enters the market.
- ✓ This introductory (sometimes called pioneering) stage is the most risky and expensive one, because substantial amount of money must be spent in seeking consumer acceptance of the product.
- ✓ Gaining distribution outlets for the product is often difficult because retailers may be hesitant to carry a new product.

❑ **Marketing Strategies during Introduction Stage**

- ✓ In launching a new product four strategies are used in relation to price and promotion.

a. Rapid-Skimming Strategy

- ✓ It involves setting high price and using high promotional effort.
- ✓ It works when:
 - ❖ The large part of the market is unaware
 - ❖ Buyers are price-non sensitive
 - ❖ Firms potential competition

b. Slow-Skimming Strategy

- ✓ It involves setting high price and using low promotional effort.
- ✓ It works when:
 - ❖ The market is limited in size
 - ❖ Most of the market is aware about the product
 - ❖ Buyers are willing to pay high prices

c. Rapid-Penetration Strategy

- ✓ It involves setting low price and using high promotional efforts.
- ✓ It works when:
 - ❖ the market is large

- ❖ The market is unaware of the product
- ❖ Most buyers are price sensitive

d. Slow-Penetration

- ✓ It involves setting low price and using low promotional effort.
- ✓ It works when:
 - ❖ The market is small
 - ❖ The market is aware of the product
 - ❖ The buyers are price sensitive

2. Growth Stage

- ✓ This is the stage where sales starts to climb quickly.
- ✓ Sales grow at an increasing rate b/c of:
 - ❖ Purchase of potential users
 - ❖ Repeat purchase of existing customers
- ✓ New competitors enter the market attracted by huge amount of profit.
- ✓ Profit increase in this stage b/c:
 - ❖ Promotion cost distributes over a large volume of sales
 - ❖ Unit manufacturing cost falls

❑ Marketing Strategies in the Growth Stage

- ❖ Improve product quality and add new product features
- ❖ Add new models
- ❖ Enter in to new market segments
- ❖ Increase the distribution coverage
- ❖ Shift from product awareness advertising to product preference
- ❖ Lower price

3. Maturity Stage

- ✓ At some point product's sales growth will slow down and the product will enter maturity stage.
- ✓ Phases in Maturity stage

A. Growth Maturity

- ✓ In this phase sales increases at decreasing rate since there laggard buyers.

B. Stable Maturity

- ✓ In this phase sales flatten because of market saturation.
- ✓ No potential buyers enter the market.

C. Decaying Maturity

- ✓ In this phase the absolute level of sales starts to decline.
- ✓ Customers start switching to other products and substitutes.

□ Marketing Strategies in Maturity Stage

- ✓ Marketers should systematically consider strategies of market, product and marketing-mix modifications.

❑ Market modification

✓ Firms try to expand their mature brand by working with increase in:

1. Number of brand users

- ✓ convert non users
- ✓ Enter new segment
- ✓ Win competitors' customers

2. Usage rate per use

- ✓ More frequent uses
- ✓ More usage per occasion
- ✓ New and varied uses

❑ Product modification

✓ Managers try to stimulate sales by modifying the products characteristics through:

1. Quality improvement

- ❖ Durability
- ❖ Reliability
- ❖ Speed and taste

2. Feature improvement

- ❖ Size
- ❖ Weight
- ❖ Accessories

3. Style improvement

- ❖ New models
- ❖ Color
- ❖ Package

□ Marketing-mix modification

- Firms try to stimulate sales by modifying marketing elements:
 - ✓ price
 - ✓ Promotion
 - ✓ placement

4. Decline Stage

- ✓ At this stage sales continue to fall and reaches zero.
- ✓ As profits & sales decline, weak firms withdraw from the market.
- ✓ Reasons for the decline of sales are:
 - ❖ The need for the product disappears
 - ❖ A better or less expensive product is developed to fill the same need
 - ❖ People simply grow tired of a product (a clothing style, for instance) so it disappears from the market

❑ Marketing Strategies During Decline Stage

- ✓ The main strategies are:
- ❖ increasing the firms investment (to dominate the market).
- ❖ Maintaining the investment level until uncertainties are avoided.
- ❖ Decreasing investment from weak products
- ❖ Harvesting the investment to recover cash quickly.

- ✓ Products in decline tend to consume a disproportionate share of management time and financial resources relative to their worth.
- ✓ To handle a declining product, a company follows one of three strategies.
- ***Deletion***
 - ✓ is dropping the product from the line.
 - ✓ Is the most drastic action.
- ***Harvesting***
 - ✓ is when a company retains the product but reduces support costs.
 - ✓ The product continues to be offered, but sales people do not allocate time in selling, nor are advertising costs spent.

❑ **Contracting**

- ✓ this same sales level might be profitable for a smaller company, and the larger firm may contract with a smaller company to manufacture the product.

Product Features

- ✓ product features combined together help a prospective customer to perceive a product.
- ✓ The basic elements of product features are the following:

❑ Brand

- ✓ is a term, sign, name, symbol or design or a combination of them intended to identify the goods and services of one seller or a group of sellers and to differentiate them from those of competitors.
- ✓ A brand contains the following components.
- ❖ **Brand name**: - is part of brand, which consists of words, letters and/or numbers which can be vocalized

Continued.....

- ❖ **Brand mark:** - is part of brand which can be recognized but is not vocalized. It can be appear in the form of symbol, design, distinctive coloring or lettering.
- ❖ **Trademark:** - a registered symbol or a brand name for legal protection.
- ❖ **Copyright:** - exclusive right to reproduce, publish, and sale the matter and form of literally musical and artistic work.

Importance of branding

- ✓ Some of the importance of brand includes:

- ❖ Helping the seller to process the good easily and track down problems
- ❖ Getting legal protection for your product
- ❖ Attracting loyal set of customers
- ❖ Building corporate image i.e. the moment your brand is known, you can sell other product easily
- ❖ Dealers (distributors) also prefer brand names
- ❖ Consumer identifies the product difference through brand
- ✓ brand may have some disadvantages which includes high production cost, high marketing cost and high legal cost.

❑ Requirements of Good Brand

- ✓ Good brand should:
 - ❖ Be easy to pronounce, spell, and remember-simple, short, one-syllable names.
 - ❖ Be distinctive
 - ❖ Be adaptable to new products that may be added to the product line
 - ❖ Be capable of registration and legal protection
 - ❖ The name should suggest the product benefits and use.

☐ **Packaging**

- ✓ Is the activity of designing and producing a container or a wrapper for product.
- ✓ It can make a product more convenient to use or store- and prevent spoiling or damage.
- ✓ Good packaging makes products easier to identify-and promotes the brand.

☐ **Importance of Packaging**

- ✓ Packages provide the following three main benefits.

a. Communication benefits

- ✓ A major benefit of packaging is the information on it, which conveys to the consumer such things as directions on how to use the product and the composition of the product.

b. Functional benefits

- ✓ Functional value of packaging is in extending storage and shelf life (the time a product can be stored before it spoils).

c. Perpetual benefits

- ✓ A third component of packaging is the perception created in the consumer's mind.
- ✓ A package can connote status, economy, or even product quality.

❑ Labeling

- ✓ is the part of a product that carries information about the product and the seller.
- ✓ A label may be a part of a package, or it may be a tag attached to the product.
- ✓ Labels fall into three primary kinds:
 - ❖ A **brand label** is simply the brand alone applied to the product or package.
 - ❖ A **descriptive label** gives objective information about the product's use, construction, care, performance, and/or other pertinent features.
 - ❖ A **grade label** identifies the product's judged quality with a letter, number, or word.

Product Mix Policies and Strategies

❑ Product mix

- ✓ also called product assortment is defined as the set of all product lines and items that are offered for sale by a company.
- ✓ **Product line** is a group of products with in a product mix intended for essentially similar uses and possessing reasonably similar physical characteristics.
- ✓ **Product item** is distinct unit with in a product line that is distinguishable by size, appearance or other attributes.

❑ Major Product Mix Strategies

✓ The main strategies are:

❖ Expansion of Product Mix

✓ The aim of expansion is to generate maximum profit by increasing the number of lines and/or the depth within a line.

❖ Contraction of Product Mix

✓ A firm may decide to contract its present product mix to hold few promising products to generate maximum possible profit either by eliminating an entire line or by reducing the assortment within a line.

❖ **Alteration of the Existing Product Mix**

- ✓ As an alternative to developing a new product a firm may alter its existing product mix by redesigning the product (improving the quality, durability and reliability), changing the packaging system and by changing the usage of the new materials.

❖ **Positioning the Product**

- ✓ is creating a product's place in the market depending on how the consumer perceives product.
- ✓ positioning is carried out in two way
 - a. Direct on stance position**
 - b. Me too stance positioning**

❖ **Trading Up and Trading Down**

- ✓ **Trading up** refers to adding a higher priced prestige product to a line in the hope of increasing the sales of existing low-priced products.
- ✓ **trade down** refers to adding a low priced item to its line of prestige products. it is designed to facilitate the sales of low priced items believing that people who can not afford the original prestige product will want to buy the new one.

Unit Five

The Price

MEANING AND OBJECTIVE

☐ Price

- ✓ is the amount of money charged for a product or service.
- ✓ is the sum of the values consumers' exchange for the benefits of having or using a product or service.
- ✓ Price goes by many names. We pay rent for apartment, tuition for education, fee to physician or dentist, fare for transportation, interest for credit, premium for insurance, retainer for legal service, salary for executives, commission for a sales person and wage for a worker.

- ✓ Pricing is the only element that produces revenue in the marketing mix while the other elements produce cost.
- ✓ A seller usually sets prices for a combination of the physical product and several services.

❑ **Strategy planning for price**

- ✓ Price is one of the four major variables marketing manager controls.
- ✓ Price level decisions are especially important because they affect both the number of sales a firm makes and how much money it earns.

- ✓ Marketing managers must develop a set of pricing objectives and policies.
- ✓ These policies should explain:
 - ❖ How flexible prices will be
 - ❖ At what level they will be set over the product life cycle
 - ❖ To whom and when discounts and allowances will be given and
 - ❖ How transportation cost will be handled.

Pricing Objectives

- ✓ The following are the main objectives of pricing:

1. Profit Oriented Objectives

a. Achieve Target Return on Investment

- ✓ A target return on investment objective sets a specific level of profit as an objective.
- ✓ This pricing objective is used by middlemen and manufacturers that are industry leaders because they can set prices independently of competition than the smaller firms in the industry.

b. Maximize Current Profit

- ✓ A profit maximization objective seeks to get as much profit as possible.
- ✓ It might be stated as a desire to earn a rapid return on investment.
- ✓ They estimate the demand and costs associated with alternative prices and choose the price that will produce the maximum current profit.
- ✓ If demand is very elastic, profit maximizes may charge relatively low prices. Low prices may expand the size of the market and result in greater sales and profits.

2. Sales Oriented Pricing Objective

a. Maximum Sales Growth

- ✓ In this objective, the company wants to achieve maximum sales growth (unit sales, dollar sales or share of market).
- ✓ companies believe that high sales volume will lead to lower unit costs and higher long run profit.
- ✓ Usually, company's set the lowest price assuming that the market is highly price sensitive and it is called penetration pricing.

- ✓ Maximum sales growth objective is possible when:
 - ❖ When the market is highly price sensitive and a low price stimulates more market growth.
 - ❖ Production and distribution costs fall with accumulated production experience.
 - ❖ A low price discourages actual and potential competition.

b. Market Share Objectives

- ✓ A benefit of a market share objective is that it forces a manager to pay attention to what competitors are doing in the market.

- ✓ If a company has a large market share, it may have better economies of scale than its competitors.
- ✓ A company with a long-run view may decide that increasing market share is a sensible objective when the overall market is growing.

3. Status Quo Pricing Objective

- ✓ Managers satisfied with their current market share and profits sometimes adopt status quo objectives.
- ✓ It avoids price competition by following large firms that are price leaders and when the products are highly standardized.

Basic Methods of Determining Prices

- ✓ Basically, there are three basic methods of determining price for products.

a. Mark-up Pricing

- ✓ It involves adding a standard mark-up to the products cost.
- ✓ It is also called cost-plus pricing.
- ✓ The formula for mark-up pricing is:

$$\text{Mark-up price} = \frac{\text{unit cost}}{1 - \text{desired return on sales}}$$

Example

ABC company has \$20, \$200,000 and 50,000 units of variable costs, fixed cost and expected unit sales respectively. The firm desired to earn a 20% mark up on sales, and what will be the prices?

Solution

$$\begin{aligned} \text{Unit cost} &= \frac{20 + 200,000}{50,000} & \text{price} &= \frac{24}{1 - 0.20} \\ &= \$24 & &= \$30 \end{aligned}$$

b. Target Return on Investment Pricing

- ✓ The firm determines the price of that would yield its target rate of return on investment (ROI).
- ✓ The formula for this is:

$$\text{Price} = \text{Unit cost} + \frac{\text{Return on Investment}}{\text{Expected sales in units}}$$

Example

ABC company has \$10, \$300,000, 50,000 units, 20% and \$1000,000 of variable costs, fixed cost, expected unit sales, ROI and investment cost respectively. what will be the prices?

Cont'd

Solution

$$\begin{aligned}\text{Unit cost/unit} &= \$10 + \frac{\$300,000}{50,000\text{units}} \\ &= \$16\end{aligned}$$

$$\begin{aligned}\text{Price} &= \$16 + \frac{\$1,000,000(20\%)}{50,000\text{units}} \\ &= \$16 + \frac{\$200,000}{50,000\text{units}} \\ &= \$20\end{aligned}$$

c. Price determined in relation to market alone

- ✓ At the other end of the scale is a method where by a firm's prices are sets in relation only to the market price disregarding cost.
- ✓ under this category there are three methods:

i. Pricing above the market

- ✓ This is based on charging prices that are higher than those of competitors.
- ✓ It may also be referred to as skimming pricing and it is commonly applied when producers introduce a new product.

ii. *Pricing below the market*

- ✓ Charging prices, which are below those of competitors, is called pricing below the market.
- ✓ It is also called penetration pricing.
- ✓ A producer charges a low price during the introductory stage and plan to get back to the initial investment through big sales.

iii. *Pricing with the market*

- ✓ It is charging prices that match with those of competitors.
- ✓ Premium pricing is another name for pricing with the market.
- ✓ This pricing also creates a business climate in which all firms can avoid the unpleasantness of price competition.

PRICING PROCEDURES

- ✓ The pricing procedures adapted by many firms are following.

1. Estimation of demand for a product

- ✓ Demand estimation is an important step in pricing a product.
- ✓ It is easier to estimate the demand for an established product than for a new one.

2. Anticipate competitive reactions

- ✓ Present and potential competition is an important influence in determining a base price.

- ✓ The threat of potential competition is greater when the field is easy to enter and the profit prospects are encouraging.
- ✓ Competition can also come from three other sources:
 - ❖ Directly similar products
 - ❖ Available Substitutes
 - ❖ Unrelated products

3. Consider company marketing policies

- ✓ The policies concerning the product and its attributes, the channels selected and the types of middlemen used; and the promotional methods used, and the extent to which the product is promoted by the manufacturer or middlemen are of significant impact on pricing.

4. Select pricing strategy to reach the market

- ✓ The most dominant and basic pricing strategies are of three types: skimming, penetration, and premium pricing strategies.

5. Select a specific price

- ✓ Based on an appropriate method(s) assumed by the firm, we select a specific price that best matches the market and generates higher profit.

PRICING STRATEGIES AND POLICIES

❑ DISCOUNTS AND ALLOWANCES

- ✓ Discounts and allowances result in a deduction from the base or list price.
- ✓ The most common types of discounts and allowances are:

a. Quantity Discounts

- ✓ are deductions from the list price of the product fixed by a seller to encourage customers to buy in larger amounts or to make most of their purchases from that seller.

b. Trade Discounts

- ✓ trade discounts, also called functional discounts, are reductions from the list price offered to buyers when they perform a service or function within a channel of distribution.

c. Cash Discount

- ✓ is a deduction granted to buyers for paying their bills within a specified period of time.
- ✓ If a buyer owes 360 and the seller offered terms 2/10, n/30 on an invoice dated September 8, the buyer may deduct a discount of 2 percent (7.20) and the bill is paid within 10 days after the date of the invoice.

d. *Seasonal Discounts*

- ✓ are price reductions for buying merchandise out of season or slack season.

e. *Promotional Allowance*

- ✓ is price reduction offered by the seller in payment for promotional services performed by buyers.
- ✓ For example the manufacturer may share half of the cost of advertising made by the retailer.
- ✓ Promotional allowance can also be given in terms of free goods.

f. Freight Allowance

- ✓ the seller may absorb all or part of the actual freight charges.

g. Merchandise Bonuses

- ✓ it refers to the provision of excess merchandise, beyond the agreed amount, for various purposes such as to offset damages.

□ Promotional Pricing

- ❖ *Loss leader pricing*
- ❖ *Special event pricing*
- ❖ *Cash rebates*
- ❖ *Psychological discounting*

❑ **Discriminatory Pricing**

- ✓ Companies will often modify their basic price to accommodate differences in customers, products, locations, and so on.
- ✓ It takes several forms:
 - ❖ **Customer segment pricing**
 - ❖ **Product form pricing**
 - ❖ **Image pricing**
 - ❖ **Location pricing**
 - ❖ **Time pricing**

Unit Six

Promotion

The Meaning of Promotion

□ Promotion

- ✓ is the element in an organization's marketing mix that serves to inform, persuade, and remind the market of a product and/or the organization selling it, in hopes of influencing the recipient's feelings, beliefs, or behavior.
- ✓ It is a device that a firm communicates directly with potential customers.

□ Purposes of promotion

- ✓ The three basic purposes of promotion are:
- ❖ To inform your customer what type of service you have intended to give, how you have planned to deliver it, etc

Cont'd

- ❖ To persuade the customer or the intermediaries to make use of (buy) your services.
- ❖ To remind the existing customers not to forget to make use of the service supplied by the firm .

❑ **The Promotion Mix (Elements)**

- ✓ is the combination of one or more of the promotional elements it chooses to use.
- ✓ It consists of *advertising, sales promotion, publicity, and personal selling.*

1. Advertising

- ✓ Is any paid form of non-personal communication of ideas, goods or services by business firms intended to lead to a sale immediately or eventually.
- ✓ The means through which advertising reaches its audience is called **advertising medium**
- ✓ The message disseminated through media is called **Advertisement.**
- ✓ The advertising media include newspaper, magazines, radio, television, outdoor displays (posters and bill boards), direct mail, novelties (match boxes, pens, calendars, etc), tear pads (car, bus, and train), catalogues, directories and circulars.

❑ **The Nature of Advertising**

✓ Advertising has the following characteristics:

❖ **Public presentation**

✓ is a highly public mode of communication.

❖ **Pervasiveness**

✓ is a pervasive medium that permits the seller to repeat a message many times.

❖ **Amplified expressiveness**

✓ provides opportunities for dramatizing the company and its products through the artful use of print, sound, and color.

❖ **Impersonality**

- ✓ The audience does not feel obligated to pay attention or respond.

❑ **Objectives of Advertising**

- ✓ Advertising has three basic objectives.

a. Informative advertising

- ✓ It includes:
 - ❖ Telling the market about a new product
 - ❖ Suggesting new uses for product
 - ❖ Informing the market of a price change
 - ❖ Explaining how the product works
 - ❖ Describing available services
 - ❖ Correcting false impressions
 - ❖ Reducing buyers' fears

b. Persuasive advertising

- ✓ It becomes important in the competitive stage, where a company's objective is to build selective demand for a particular brand.
- ✓ It includes:
 - ❖ Building brand preference
 - ❖ Encouraging switching to the brand
 - ❖ Changing buyers' perception of product attributes
 - ❖ Persuading buyers to purchase now
 - ❖ Persuading buyers to receive a sales call

c. **Reminder advertising**

- ✓ It includes:
 - ❖ Reminding buyers that the product may be needed in the near future
 - ❖ Reminding buyers where to buy it
 - ❖ Keeping it in buyers' mind during offseason
 - ❖ Maintaining its top-of-mind awareness

□ Types of Advertising

- ✓ Advertising can be classified as follows:

a. Primary or Selective Demand Advertising

- ❖ Primary advertising is done for the purpose of introducing new products.
- ❖ Selective advertising promotes a particular brand of the product.

b. Product or Institutional Advertising

- ❖ Product advertising tries to sell a product by informing or stimulation the market about prospects or services of a company.
- ❖ Institutional advertising tries to develop a goodwill for a company.

c. Cooperative Advertising

- ✓ Manufacturers at times cooperate with their wholesalers and retailers by giving them an advertising allowance for their local advertising so that the manufacturer's own brand may get preference in such advertising.

d. Advertising Classified by Intended Audiences

- ❖ Consumer advertising is naturally directed at the ultimate household customers or actual consumers or users of product.
- ❖ Industrial advertising aims at industrial customers.

- ❖ Trade advertising is directed at channels of distribution such as wholesalers or retailers.

e. Direct or Indirect Action Advertising

- ❖ Direct advertising is when advertising is aimed at making the consumer buy immediately the product or at least to ask for more details about that product it.
- ❖ an indirect action type with a view to create a favorable attitude towards the manufacturer's product.

2. Personal Selling

- ✓ is the individual, personal communication of information, in contrast to the mass, impersonal communication of advertising, sales promotion, and other promotional tools.
- ✓ Sales people can tailor their presentations to fit the needs and behavior of individual customers.
- ✓ Sales people can see their customer's reaction to a particular sales approach and make adjustments on the spot.

❑ Personal Selling Process

- ✓ The personal selling process is a logical sequence of four steps that a sales person takes in dealing with prospective buyers.

a. Prospecting

- ✓ It consists of first identifying potential customers and then qualifying them, that is, determining whether they have the necessary purchasing power, authority, and willingness to buy.

b. Pre approach to Individual Prospects

- ✓ include finding out what products the prospects are now using and their reaction to these products.
- ✓ Sales people should try to get all the information they can, so that they will be able to tailor their presentation to individual buyers.

c. Presenting the Sales Message

- ✓ With the appropriate pre approach information, a sales person can design a sales presentation that will attract the prospect's attention.

- ✓ The sales person will try to hold the prospect's interest while building a desire for the product, and when the time is right, attempt to stimulate action by closing the sale.
- ✓ This approach, called AIDA (an acronym formed by the first letters of *Attention*, *Interest*, *Desire*, and *Action*), is used by many organizations.

d. *Post sale Service*

- ✓ An alert sales person will follow up sales to ensure that no problems occur in delivery, financing, installation, employee training and other areas that are important to customer satisfaction.

- ✓ In this final stage of the selling process, a sales person can minimize the customer's dissonance by:
 - ❖ Summarizing the product's benefits after the purchase,
 - ❖ Repeating why the product is better than alternatives not chosen, and
 - ❖ Emphasizing how satisfied the customer will be with the product.

3. Sales promotion

- ✓ Are a set of incentive tools to stimulate interest, trial or purchase of a particular product by final consumers or others in the channel.
- ✓ Sales promotion covers a wide variety of incentives, such as samples, coupons, premiums; cash refund offers, prizes, patronage rewards, free trials, warranties, demonstrations, contests, displays, shows and expositions, free goods buying allowances and other various efforts.

❑ Objectives of sales promotion

- ✓ The specific objectives of sales promotion includes:
- ❖ To get customers to try a new product or an improved model of an established product
- ❖ To attract new customers
- ❖ To encourage present customers to use the product in greater quantities
- ❖ To combat a competitor's promotional activity
- ❖ To increase the amount of impulse buying by consumers
- ❖ To get greater cooperation from resellers (e.g. Training of salespeople of wholesalers and retailers)

☐ **Effects of sales promotion**

- ✓ Sales promotion has three major effects:
- ❖ positive effect, which involves permanent increment of sales,
- ❖ neutral effect which involves no change of sales permanently and
- ❖ negative effect which involves reduction in sales as compared to its original state.

4. Publicity and Public Relation

☐ **Publicity**

- ✓ is any communication about an organization and its products, including publicities through the media that is not paid for by the organization.

- ✓ Publicity usually takes the form of a news story appearing in a mass medium or an endorsement provided by an individual, either informally or in a speech or interview.
- ✓ There is also, of course, bad publicity- a negative story about a firm or its product appearing in the media.
- ✓ The credibility of publicity typically is much higher than advertising.

☐ **Public Relations**

- ✓ refer to the communication activities designed to create and maintain a favorable image of an organization.

- ✓ It is a planned effort by an organization to influence the attitudes and opinions of a specific group.
- ✓ It includes public Service Activities like building bus stops, donating garbage disposal containers, maintaining public parks, zoo and so on, Setting up charity hospitals and Providing drinking water facilities.

☐ **Determination of Promotional Mix**

- ✓ Companies consider the factors described below in developing their promotional mix

a. Funds available

- ✓ Regardless of what may be the most desirable promotional mix, the amount of money available for promotion is the real determinant.

b. Nature of the market

- ✓ this influence is felt in at least three ways.
 - ❖ Geographical scope of the market
 - ❖ Type of customers
 - ❖ Composition of buyers

c. Nature of the products

Unit Seven

Distribution

The Meaning of Distribution Channel

□ Distribution

- ✓ Consists of all major activities of the manufacturing and all of the intervening institutions and operations that move the goods along toward the ultimate consumer or industrial user.
- ✓ The basic functions of distribution are buying, selling, transporting and warehousing.

□ Distribution Channel

- ✓ consists of a set of people and firms involved in the transfer of title to a product as the product moves from producers to ultimate consumers or business users.

Cont'd.....

- ✓ The channel for a product extends only to the last person or organization that buys it without making any significant change in its form.
- ✓ When its form is altered and another product emerges, a new channel is started.
- ✓ Besides producer, middlemen, and final customer, there are institutions that aid but not included in the distribution process such as banks, insurance companies, storage firms, and transportation companies.

Cont'd.....

❑ **Middleman**

- ✓ is a business firm that renders services related directly to the sale and/or purchase of a product as it flows from producer to consumer.
- ✓ A middleman either owns the product at some point or actively aids in the transfer of ownership.
- ✓ Based on the ownership of title for the product or not classified into as follows:

a. **Merchant middlemen**

- ✓ They take title to the products they help to market.
- ✓ The two groups of merchant middlemen are wholesalers and retailers.

b. Agent middlemen

- ✓ never actually own the products, but they do arrange the transfer of title.
- ✓ Real estate brokers, manufacturer's agents, and travel agents are examples of agent middlemen.

□ Rationale for Intermediaries

- ✓ There are two rationales:

a. Function performed by intermediaries

- ✓ intermediaries perform a transactional function that involves buying, selling and risk taking because they stock merchandise in anticipation of sales.

- ✓ Intermediaries perform a logistic function evident in the gathering, storing, and dispersing of products.
- ✓ intermediaries perform facilitating functions, which assist producers in making goods and services more attractive to buyers.

b. Utilities created by Intermediaries

- ✓ marketing channels help to create the four utilities: time, place, form, and possession.

□ Designing Distribution Channels

- ✓ For well-designed distribution channel a sequence of four decisions are required:

a. Specifying the role of distribution

- ✓ A company must decide whether distribution will be used defensively or offensively.

b. Selecting the type of channel

- ✓ a firm needs to decide whether middlemen will be used in its channel and, if so, which types of middlemen.

c. Determining intensity of distribution

- ✓ The next decision relates to the intensity of distribution, or the number of middlemen used at the wholesale and retail levels in a particular territory.

d. Choosing specific channel members

- ✓ When selecting specific firms to be part of a channel, a producer should assess factors related to the market, the product, its own company, and middlemen.

□ Major Channels of Distribution

- ✓ A channel consisting only of producer and final customer, with no middlemen providing assistance is called **direct distribution**.
- ✓ a channel of producer, final customer, and at least one level of middlemen represent an **indirect distribution**.

Cont'd.....

✓ The most common are:

a. Channels for Consumer Goods

✓ It includes:

- ❖ Producer - Consumer
- ❖ Producer - Retailer - Consumer
- ❖ Producer - Wholesaler - Retailer – Consumer
- ❖ Producer - Agent - Wholesaler -
Retailer - Consumer

b. Channels for Business (industrial) Goods

✓ The four common channels for business goods are:

❖ Producer User.

❖ Producer Industrial distributor User

❖ Producer Agent User

❖ Producer - Agent - Industrial
distributor - User

c. Distribution Channels for Services

✓ It includes:

❖ Producer Consumer

❖ Producer Agent Consumer

Factors Affecting Choice of Channels

- ✓ The following are the main considerations in selecting channels:

a. Market Considerations

- ✓ It includes:

- ❖ *Type of market*
- ❖ *Number of potential customers*
- ❖ *Geographic concentration of the market*
- ❖ *Order Size*

b. Product Considerations

- ✓ It includes:

- ❖ *Unit value*
- ❖ *Perishability*
- ❖ *Technical nature of a product*

c. Middlemen Considerations

- ✓ It includes:
- ❖ *Services provided by middlemen*
- ❖ *Availability of desired middlemen*
- ❖ *Attitudes of middlemen toward producer's policies*

d. Company Considerations

- ✓ It includes
- ❖ *Desire for channel control*
- ❖ *Services provided by seller*
- ❖ *Ability of management*
- ❖ *Financial resources*

Intensity of Distribution

- ✓ refers to the number of intermediaries used at each channel level.
- ✓ This intensity of distribution is categorized into three, ranging from exclusive to intensive distribution.

a. Exclusive Distribution

- ✓ involves severely limiting the number of intermediaries that handle the company's goods or only one intermediary is used in a particular market area.
- ✓ It is used when the producer wants to maintain a great deal of control over the service level and service outputs offered by the resellers

Cont'd.....

Example:

- ✓ MOENCO is an exclusive distributor of TOYOTA automobiles in Ethiopia

b. **Selective Distribution**

- ✓ involves the use of more than a few but less than all of the intermediaries who are willing to carry a particular product.

c. **Intensive Distribution**

- ✓ the producer places the goods or services in as many intermediaries as possible.
- ✓ This strategy is generally used for consumer convenience goods such as tobacco products, soap, and so on.